# Market Watch

## Downgrade of global equities to a Core allocation

### Summary

**Event:** We are downgrading global equities from Overweight to a Neutral/Core allocation. We continue to maintain a Neutral allocation to fixed income, Overweight on Gold and Underweight on Cash. There are more details in our Global Market Outlook publication on 30 October 2026.

### What does the equity downgrade mean?

This downgrade implies a **slightly lower allocation** to global equities within a diversified portfolio. For our CIO Foundation Balanced portfolio, this would imply an equity allocation of 52.5%, down from 53.2%. We continue to expect **positive returns for global equities** in the coming 6-12 months, though equity investors may need to recalibrate expectations lower, compared with the 15-20% annualised gains experienced in the last few years. Our capital market assumptions still suggest a mid-to-high single digit annual returns over the next few years, consistent with a **transition to a mid-cycle** bull market. Consensus estimates point to 16% earnings growth for global equities in 2027, which should overcome various headwinds to deliver positive returns for equities over the next 12 months. Investors should thus, continue to **maintain exposure to equities** within a diversified portfolio.

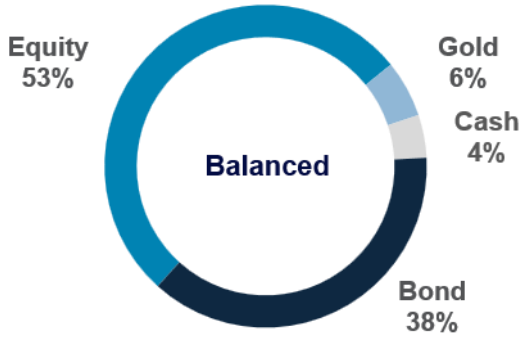
In addition, we see a **changing playbook** to prepare for higher volatility, more active management and greater diversification, as discussed below.

### What does it mean for regional equities positioning?

Within a global equities portfolio, **we remain Overweight US and Asia ex-Japan (AxJ) equities**, which are expected to deliver the highest earnings growth in 2027 amongst the major regions. This growth is led by the technology sector, which carries the largest weight in both regions. Within the diversified equities portfolio, we maintain Core allocations to

**Allocation to global equities decrease to 52.5% from 53.2% for our CIO Foundation Balanced portfolio**

Foundation tactical asset allocation




Source: Standard Chartered
Allocations in the chart are rounded to the nearest whole number

**Our forecasts imply 9% upside in the S&P 500 over the next 12m, as of 29 October 2026**

Index forecasts

| Index | 12m forecast* | Our views |
|---|---|---|
| S&P500 | 8,400 | US ▲ |
| Nasdaq 100 | 32,400 | |
| Euro Stoxx 50 | 6,580 | Europe ex-UK ◆ |
| FTSE 100 | 11,170 | UK ▼ |
| Hang Seng | 24,600 | China ◆ |
| Nifty 50 | 25,000 | India ▲ |
| Nikkei 225 | 68,500 | Japan ◆ |

**Legends:** ▲ Overweight | ◆ Core | ▼ Underweight
Green / red colour indicates the upward / downward change from the prior view
* Target prices created as of 30 October 2026, using the preceding session's closing prices
Source: Bloomberg, Standard Chartered

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Euro area equities, which offer lower valuations, and Japan equities, which is backed by a reflating economy. We are Underweight UK equities, where the sector composition offers lower growth prospects in 2027. Within the AxJ region, we are **Overweight Taiwan** equities, with attractive structural growth driven by its semiconductor industry. We are also **Overweight India** equities, which offers diversified non-tech growth drivers. Taiwan and India equities both generate attractive returns on equity. We maintain Core allocations to China equities, with low valuations, and Korea equities, with explosive earnings growth in its semiconductors industry, but volatile price movements. We are Underweight ASEAN, which offers relatively lower earnings growth.

## What are the implications for equity sectors?

**We are Overweight these sectors globally: US information technology, US healthcare, US financials, US materials, Europe ex-UK financials, and Japan financials.**

A framework we use is to break the market into four key sector building blocks. **Tech** is the largest block, encompassing the Information Technology, Communication Services and Consumer Discretionary sectors. Put differently, the segment spans five major industries: semiconductors, hardware, internet, software, and IT services. Within the US market, we expect this segment to deliver c.30% earnings growth in 2027, extending the strong momentum seen in 2026.

**Financials and Real Estate** are the next building block, comprising these two sectors. We expect this segment to continue delivering low-teens earnings growth in 2027, supported by resilient economic activity and healthy credit trends.

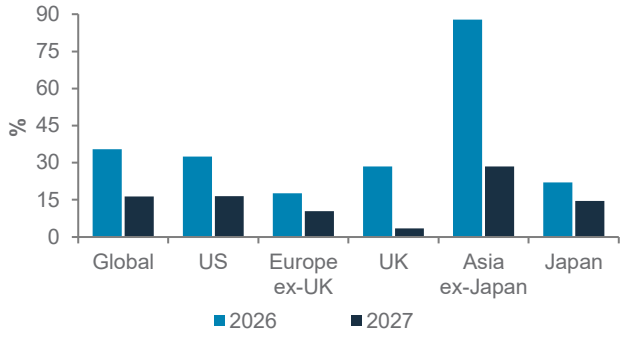
**Resources** include companies across four sectors: Industrials, Materials, Energy, and Utilities. We expect the segment to generate 10-15% earnings growth in 2027, although Energy is likely to remain the largest drag on overall growth due to tougher comparisons and softer energy price assumptions for 2027.

**Healthcare & Others** consists primarily of Healthcare and Consumer Staples. We expect mid-teen earnings growth for the segment in 2027, with a rebound in healthcare earnings representing a potential upside surprise.

Our Overweight sector exposures are drawn from each of the four key blocks above. Unlike the last few years, with concentrated gains from Tech providing market leadership, we see our downgrade in global equities also reflecting a **broadening in market leadership** towards each of the other sector blocks apart from Tech.

**US and Asia ex-Japan would continue to lead in earnings growth in 2027**

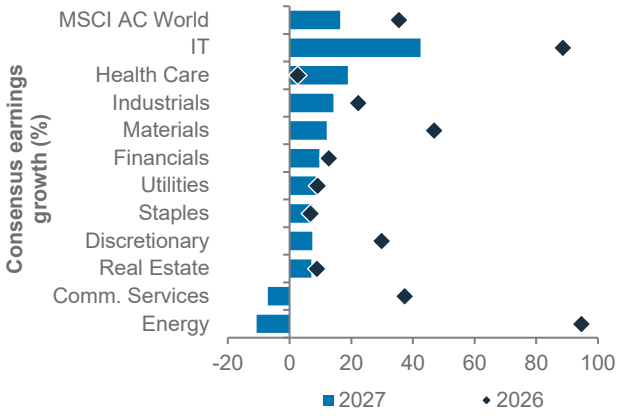
2026 and 2027 consensus earnings growth estimates for MSCI equity regional indices




Source: FactSet, Bloomberg, Standard Chartered

**Global equities continue to be supported by strong earnings growth in 2027, led by technology and healthcare sectors**

2026 and 2027 consensus earnings growth estimates for MSCI AC World sectors




Source: FactSet, Bloomberg, Standard Chartered

As structural themes such as AI transition from the rapid buildout phase towards monetisation, diversified exposure across sectors and regions should become increasingly important.

## What are the implications for equity opportunistic ideas?

**We have opportunistic ideas on Global High-Dividend equities, US healthcare, Euro area banks, MSCI Switzerland and Japan banks.** The selection represents a more defensive stance currently, with an average beta of below 1 relative to global equities (MSCI AC World), but attractive drivers nonetheless, for each of the ideas.

**Global High-Dividend** offers higher-income equity allocation with historically lower volatility than global equities. **US healthcare** is supported by wider adoption of obesity treatments, advances in oncology and innovative medical devices, that support earnings growth. **Euro area banks** continue to see steady earnings growth adding to their excess capital, which is being returned to shareholders via attractive dividend and share buyback yields. **Japan banks** continue to enjoy net margin expansion from BoJ policy normalisation, as well as corporate governance improvements. **MSCI Switzerland** is a newly initiated idea for investors seeking defensive exposure. Healthcare and consumer staples accounts for more than half the index weight, providing exposure to relatively resilient demand that is more insulated from economic cycles and AI trends. It also has a sizeable financial sector supported by steady wealth management growth and well-capitalised insurers with disciplined underwriting and resilient premium income.

We see the case for **more active management** in a mid-cycle transition, as higher market dispersion should create greater opportunities for active sector and stock selection, particularly as leadership within equities evolves.

## What are the implications of higher equity market volatility?

A more uncertain political backdrop and potentially maturing growth rates in certain market segments may contribute to more frequent bouts of market volatility. Higher volatility presents an opportunity to use structured strategies to gain exposure to equities. Such strategies may be used to generate income or to gain exposure at a discounted entry price. Investors can also consider strategies that are structured to return principal or partial principal at maturity.

## What alternative strategies are suited to a regime of moderating equity market returns?

Investors can consider alternative strategies such as hedge fund strategies or private markets, for those with the capacity

**Our opportunistic ideas have a more defensive stance on average**

Equity opportunistic ideas

| Idea | Inception date |
|---|---|
| Global High Dividend | 18-Jun-26 |
| *US Healthcare | 12-Oct-26 |
| *MSCI Switzerland | 29-Oct-26 |
| Euro Area Banks | 27-Aug-26 |
| Japan Banks | 18-Jun-26 |

Source: Standard Chartered. *New idea

**We expect returns for global equities to moderate from the 15-20% annualised gains seen in the last few years**

Annual returns for MSCI AC World index




Source: FactSet, Bloomberg, Standard Chartered

to accept some illiquidity.

Equity long/short hedge fund strategies would retain growth participation with less market exposure. Fund managers buy companies they expect to outperform and short those they expect to underperform, seeking to earn the difference between the two, and benefit even as total equity market returns are moderating.

Within private markets, private equity provides a means to higher returns with the effects of an illiquidity premium. Meanwhile, infrastructure offers differentiated exposure to structural growth opportunities, where contracted long-term revenues reduce dependence on equity-market sentiment.

## What are the implications on fixed income and FX markets?

**Bonds**: This year's surge in bond yields means bonds now offer a hedge against any equity market weakness. We believe the 3-7-year part of the US bond yield curve offers the best hedge against any equity sell-off caused by AI-related growth worries. This part of the bond curve has priced in most Fed rate hike expectations, which could reverse if growth concerns return. Meanwhile, we favour US Treasury Inflation-Protected Securities (TIPS) as a hedge against any fuel price-led inflation scare.

**Credit**: For corporate bonds, adopting a defensive stance in a volatile environment typically involves: i) increasing credit quality, favouring higher-rated issuers; and ii) moving up the capital structure, by reducing exposure to subordinated debt and favouring secured debt. From a sector perspective, large, diversified banks, utilities, and quasi-sovereigns tend to be more defensive, particularly relative to cyclical sectors, such as metals and mining, exploration, and technology.

**FX**: We favour bearish AUD/JPY as a tactical hedge against any equity market correction. Review of 21 past S&P500 correction sessions (2010-2025) shows AUD weakened against USD in 86% of cases, while JPY strengthened against USD in 67%, supporting our bearish AUD/JPY outlook during any equity market stress.

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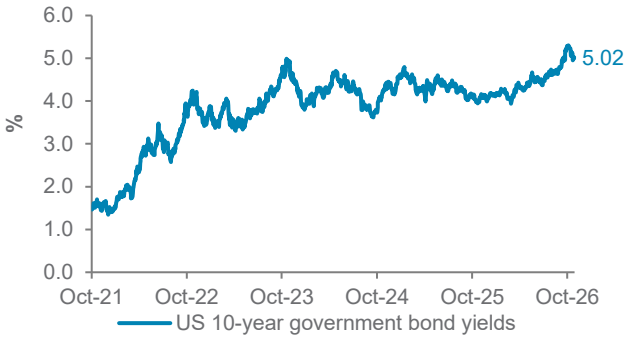
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**The surge in bond yields this year means bonds now offer a hedge against any equity market weakness**

US 10-year government bond yields




Source: Bloomberg, Standard Chartered

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# Market Watch

## Compelling risk-reward in US 10-year bonds

### Summary

**Event:** The US 10-year government bond yield has surged past 5.0% to a 19-year high and has now entered our three-month forecast range of 5.0-5.25%. At the time of writing, the 10-year yield is trading at 5.2%, its highest since June 2007's high of 5.32%. The next resistance levels are the 2002 high of 5.47% and the 2001 high of 5.53%.

We view the **risk/reward for the US 10-year government bond after the recent yield spike as compelling and we are initiating a long opportunistic idea at the current yield**. As the table on the right shows, if the 10-year yield rises to 6%, investors would face less than 1% in negative total returns over a one-year period, whereas if the yield falls below 5.0%, they would gain at least 6% in total returns.

While we continue to prefer the 3-7-year bond maturity range for income generation (the US 5-year bond yield is also above 5%), and broadly prefer corporate over government bonds amid solid corporate fundamentals, the US 10-year government bond yield has finally reached reasonable levels for investors looking for slightly longer maturities.

**Rationale:** We expect the US 10-year government bond yield to ease to 4.75-5.0% over a 12-month period due to:

**Easing oil prices and inflation over next 12 months:** While the yield is likely to remain elevated in the next three months due to elevated oil prices caused by geopolitical uncertainty, heavy AI investment-driven bond issuance and a resilient US economy, it is likely to ease towards the 4.75-5.0% range over 12 months as oil prices moderate either due to a resolution in the Middle East or a rerouting of Middle East energy supplies and as the impact of tariffs fade.

**We expect shallower Fed rate hikes than markets:** We expect a total of 50bps of Fed rate hikes by June 2027, before a cut in H2 as US inflation eventually eases towards the Fed's 2% target. This rate trajectory is shallower than c. 95bps of further hikes priced by markets over the next 12 months.

**The benchmark US 10-year government bond yield has risen to its highest since 2007, offering medium-term investors a compelling risk-reward trade-off**

US 10-year government bond yield and previous highs




Source: Bloomberg, Standard Chartered

**At current levels, the US 10-year government bond yield offers investors compelling risk-reward trade off**

Implied 1-year FX-hedged total returns (%) on various 10-year Developed Market government bonds from shifts in their yields; grey dotted lines roughly denote current spot yield levels

| Expected yield in 12 months | US | Germany | Japan | UK |
|---|---|---|---|---|
| 7.0% | -7.4 | -17.9 | -20.3 | -5.3 |
| 6.5% | -4.1 | -15.1 | -18.6 | -2.0 |
| 6.0% | -0.6 | -12.0 | -16.7 | 1.5 |
| 5.5% | 3.0 | -8.8 | -14.4 | 5.2 |
| 5.0% | 6.9 | -5.3 | -11.9 | 9.0 |
| 4.5% | 10.9 | -1.7 | -9.1 | 13.1 |
| 4.0% | 15.1 | 2.2 | -6.1 | 17.3 |
| 3.5% | 19.5 | 6.3 | -2.7 | 21.6 |
| 3.0% | 24.1 | 10.6 | 0.9 | 26.2 |
| 2.5% | 28.9 | 15.1 | 4.8 | 30.9 |
| 2.0% | 33.8 | 19.8 | 9.0 | 35.8 |
| 1.5% | 38.9 | 24.7 | 13.4 | 40.9 |
| 1.0% | 44.2 | 29.9 | 18.2 | 46.2 |
| 0.5% | 49.7 | 35.2 | 23.2 | 51.6 |
| 0.0% | 55.4 | 40.8 | 28.5 | 57.3 |

Source: Bloomberg, Standard Chartered

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**Investor positioning adjustment:** In the very near-term, the US 10-year bond yield has room to move lower as hedge funds using systematic strategies (CTAs) are extremely short US government bonds, raising the chance of short-covering if upcoming jobs and inflation data miss estimates.

## A shallow Fed hiking cycle

**We expect the shallowest Fed hiking cycle in almost three decades.** This should enable the US 10-year yield to ease towards 4.75-5.0% over a 12-month period. Following this month's increase, we forecast two further 25bp hikes by June 2027, followed by a cut in H2 2027. Markets price at least three more hikes by June and a strong probability of a fourth by September. Our projected 75bps of total hikes this cycle compares with 525bps of hikes in 2022–23, 225bps in 2015–18, 425bps in 2004–06 and 175bp in 1999–2000. The last smaller mid-cycle move was a single 25bps hike in 1997.

## Why we expect a more cautious Fed

The latest hike restored the Fed's credibility after renewed oil-price pressures, elevated inflation and a balanced labour market prompted a unanimous policy vote. However, the following factors argue against aggressive tightening:

**Supply-driven inflation:** Energy costs and AI-infrastructure constraints, rather than excess demand, are driving prices. Higher rates cannot repair supply and may weaken growth.

**Labour is no longer the main inflation source:** Labour supply and demand are better balanced, wage growth has moderated and unemployment is near full employment. AI further weakens the traditional Phillips Curve relationship between unemployment and inflation.

**Disinflation should resume:** Energy pressures may fade after the US mid-term elections, while the one-off inflationary effects of tariffs should diminish after 2025–26.

**AI raises the neutral rate, but dampens inflation:** Investment and productivity may lift the neutral rate (r*), the rate consistent with stable inflation and full employment, while efficiency gains limit wage-price spirals.

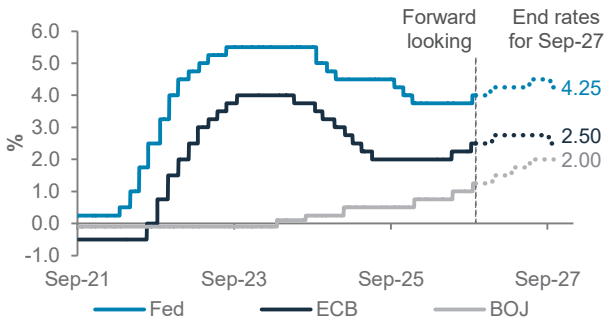
**Markets are already tightening financial conditions:** Higher bond yields have raised borrowing costs and restrained activity, doing part of the Fed's work.

**The cycle began from a higher base:** The Fed funds rate started at 3.75%, versus 0.25% in the previous two cycles and 1% before that, reducing additional tightening required.

**Monetary transmission has weakened:** Wealthier households drive more spending but are less rate-sensitive, while lower-income consumers are already constrained. Further hikes may, therefore, curb demand less effectively while causing disproportionate harm to low-income families.

**We expect a shallower Fed rate hiking cycle compared with market expectations**

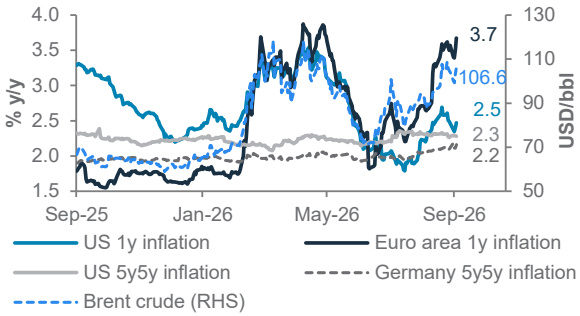
Our policy rate outlook for the Fed, ECB and BoJ




Source: Bloomberg, Standard Chartered; *dotted lines reflect our expected rates path over the next 12m

**While near-term inflation is lifted by oil prices and tariffs, long-term inflation expectations remain subdued**

US and Euro area near-term and long-term inflation expectations




Source: Bloomberg, Standard Chartered

**Small business conditions are deteriorating:** Higher financing and energy costs are weakening sentiment, as reflected in the latest Beige Book. The renewed underperformance of US small capitalisation (S&P 600) and mid capitalisation (S&P 400) equity indices versus the large cap S&P 500 index over the past couple of months also show rising pressure on small businesses.

**Fiscal and financial-stability risks are rising:** Aggressive Fed tightening would increase US debt-servicing costs as the US Treasury seeks cheaper funding through shorter-maturity issuance, while potentially amplifying financial-system stress.

## Upside risk to bond yields

Our view of lower bond yields carries the following risks:

**Persistent inflation:** Repeated supply shocks, strong AI-related investment demand and tighter immigration controls could keep inflation above target and force steeper Fed rate hikes. With unemployment near the Fed's estimate of full employment, a sharp drop in labour supply could intensify wage pressures and destabilise inflation expectations. We note that long-term expectations remain contained for now.

**Geopolitical escalation:** An intensification of geopolitical conflicts after the mid-term elections could lift energy prices and inflation. However, a Democrat-controlled or divided Congress may constrain US foreign-policy initiatives through tighter budgets, while Republicans could turn less supportive as attention shifts to the 2028 presidential race.

**Higher neutral rate:** AI investments could raise the neutral rate (r*), turning current monetary policy settings accommodative. This could necessitate further rate hikes. However, the Fed has barely raised its nominal neutral rate estimate, lifting it to 3.2% in September from 3.0% a year ago.

**Bottomline:** The outlook for rates remains geopolitics dependent, with all Fed meetings live. However, based on our core scenario, we see the US 10-year yield settling lower in the 4.75-5.0% in 6-12 months. A shallow Fed hiking cycle due to expected disinflation offers investors a reasonably attractive risk-reward in US 10-year government bonds.

US 30-year government bonds, on the other hand, may continue to see elevated yields as the US fiscal deficit is unlikely to have improved next year, and may look much worse. As a result, "term premium" may keep the ultra-long end elevated. Short of some unorthodox policy to artificially cap them lower, the 30-year yield is likely to continue to drift higher towards the 5.5-5.75% range into H2 2027.

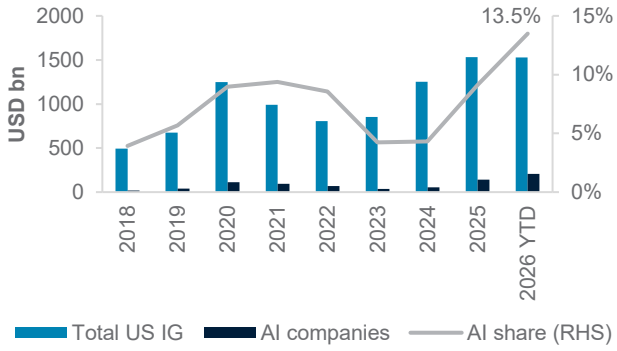
***— Jonathan Liang,*** *CIO for Fixed Income and FX*

***Rajat Bhattacharya,*** *Senior Investment Strategist*

***Cedric Lam,*** *Senior Investment Strategist*

**AI-related bond issuances are a key factor keeping US bond yields elevated in the near term; we oil and tariff effects on inflation to fade over 12 months, offsetting AI-driven effects on bond yields**

AI issuance (total & share of total), US IG gross issuance




Source: Bloomberg, Standard Chartered

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